

IND AS 115 — REVENUE FROM CONTRACTS WITH CUSTOMERS

One-Page Decision Framework & Journal Entry Templates

1. FIVE-STEP MODEL

Identify the contract → Identify performance obligations → Determine transaction price → Allocate the transaction price → Recognise revenue when (or as) a performance obligation is satisfied.

2. CONTROL TRANSFER — KEY INDICATORS

- Present right to payment · Legal title · Physical possession · Significant risks & rewards · Customer acceptance

3. VARIABLE CONSIDERATION

Estimate using Expected Value or Most Likely Amount. Apply constraint so it is highly probable that a significant reversal will not occur. Re-estimate at each reporting date.

4. JOURNAL ENTRY TEMPLATES

On satisfaction of PO:

Dr Contract Liability / Receivable
Cr Revenue from Contracts with Customers

Incremental cost of obtaining a contract:

Dr Contract Cost Asset
Cr Cash / Payable → amortise as related revenue is recognised

5. RED FLAGS

- Revenue before control transfers (bill-and-hold, channel stuffing)
- Unconstrained variable consideration estimates
- Artificial splitting/combining of performance obligations
- Side letters not reflected in accounting
- Significant financing component ignored

6. KEY DISCLOSURES

Disaggregation of revenue · Contract balances · Remaining performance obligations · Significant judgements · Assets from costs to obtain/fulfil contracts.

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi